

"It costs around seven times more to acquire a new customer than to retain an existing one."

—Bain & Company

- Burning out of product
- Product malfunction due to environmental temperatures and other reasons

Hence, every industry should deliberate the following:

- Validate datasheet for raw materials that different vendors are offering; whether the datasheet meets product design principles
- Rate of failure of samples calculated per 100 samples
- Reliability of those samples
- Tolerance range
- Mechanical characteristics
- Packaging characteristics

Valuation of the above points may help decide which vendor to choose. It can also help boil down the field call return in the form of



Fig. 7: Examples of component damages

component damage, damage due to transportation, mechanical reliability and more. Meanwhile, it is

also necessary to track and control, so that things are in place.

The above-explained cost of non-quality increases customer complaints and more returns, hence, higher warranty cost. This leads to the company using earnings for maintenance and customer satisfaction. Sometimes, cost of non-quality is so high that it brings down profit margins substantially.

Cost due to lack of service. Like manufacturing, supply chain management, design and development, customer serviceability is also important. Outstanding customer serviceability makes consumers become

brand focused, and it also helps with word-of-mouth marketing due to customer-oriented service. **EFY**



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